

2:00PM LINE 2

23-CIV-00194

THOMAS BRYCE, M.D., PH.D VS ROY VAID, M.D.

THOMAS BRYCE, M.D.
ROY VAID, M.D., PH.D.

RICHARD E. MUNZINGER
MARCO QUAZZO

Petitioner's Motion for Leave to Amend the Complaint

TENTATIVE RULING:

Plaintiff Thomas Bryce's Motion for Leave to Amend the Complaint is **GRANTED, in part**. Plaintiff's Request for Judicial Notice is **GRANTED**, but not for the truth of the matters therein.

A. Background

This action for supervision of voluntary dissolution of Quality Nighthawk Teleradiology Group, Inc. (QNH) and damages for breach of fiduciary duty, has been pending for over three years. (Petition for Supervision of Voluntary Dissolution and Complaint, filed on January 13, 2023, ¶ 1.) Plaintiff and defendant Roy Vaid each owned 50% of the shares of QNH, a "teleradiology" business in which the company's radiologists provided radiological review and analysis services remotely for various customer entities.

Vaid argues that Bryce waited two years before commencing meaningful discovery and has delayed three years in seeking to amend his complaint, resulting in an increase in defendant's discovery burden and a delay in trial. Bryce counters that Vaid's bankruptcy filing on behalf of QNH and failure to adequately respond to discovery caused significant delay. On balance, and in light of the strong policy in favor of granting leave to amend, Vaid has not demonstrated a level of prejudice that warrants denying leave, particularly because there is no trial date yet set in this matter.

B. Legal Standard

"[J]udicial policy favors resolution of all disputed matters between the parties in the same lawsuit." (Weil & Brown, *Cal. Prac. Guide: Civ. Proc. Before Trial* (Rutter, June 2026 Update) ¶ 6:638 (Weil & Brown).) "If the motion to amend is timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse permission to amend and where the refusal also results in a party being deprived of the right to assert a meritorious cause of action or a meritorious defense, it is not only error but an abuse of discretion." (*Morgan v. Superior Court of Cal. In and For Los Angeles County* (1959) 172 Cal.App.2d 527, 530.)

"Ordinarily, the judge will not consider the validity of the proposed amended pleading in deciding whether to grant leave to amend. Grounds for demurrer or motion to strike are premature. After leave to amend is granted, the opposing party will have the opportunity to

attack the validity of the amended pleading.” (Weil & Brown, *supra*, at ¶ 6:644; citing *Kittredge Sports Co. v. Sup Ct.* (1989) 213 Cal.App.3d 1045, 1048; *Atkinson v. Elk Corp.* (2003) 109 Cal.App.4th 739, 760.) But, “[t]he judge undoubtedly has discretion to deny leave to amend where a proposed amendment fails to state a valid cause of action or defense.” (Weil & Brown, *supra*, ¶ 6:645.)

C. Discussion

Bryce’s proposed First Amended Complaint (proposed FAC) does the following:

- “adds to the existing Second Cause of Action for breach of fiduciary duty” by “nam[ing] Vaid both directly and derivatively through QNH for his breaches of fiduciary duties owed to QNH and Bryce”;
- “adds an individual Third Cause of Action for Vaid’s breach of fiduciary duty for failure to sell QNH to Experity, Inc. and failure to sell QNH during this dissolution as a going concern” which “names Vaid directly for his breaches of fiduciary duties owed to Bryce individually”;
- “adds a Fourth Cause of Action for unfair business practices” which “names Vaid for unfair business practices both directly and derivatively”;
- “adds a Fifth and Sixth Cause of Action for fraudulent conveyance” which “are brought individually by Bryce against Vaid alleging fraudulent conveyance of properties which has hindered, delayed and defrauded Bryce’s ability to satisfy his claims against Vaid”; and
- “adds a Seventh Cause of Action for indemnification” which is “brought by Bryce individually against QNH.”

(MPA iso Motion, at p. 3:2-15.)

Ordinarily, the two [derivative and direct] actions are mutually exclusive: i.e., the right of action and recovery belongs to either the shareholders (direct action) or the corporation (derivative action). [*Schuster v. Gardner* (2005) 127 CA4th 305, 312, 25 CR3d 468, 473 (quoting prior version of text); see *Bader v. Anderson* (2009) 179 CA4th 775, 793, 101 CR3d 821, 835 (quoting text); *Oakland Raiders v. National Football League* (2005) 131 CA4th 621, 649, 32 CR3d 266, 287, fn. 26 (quoting prior version of text)] [¶] However, the distinction between direct and derivative actions sometimes blurs, especially in corporations with only a few shareholders where the acts of one officer/shareholder directly impact both the corporation and the other shareholders.

(Weil & Brown, Cal. Prac. Guide: Corporations (Rutter, July 2025 Update) ¶ 6:598.1 (Weil & Brown), emphasis removed.)

“Where the duty breached is owed directly to the shareholder as an individual, the shareholder may bring suit and obtain judgment on their own behalf.” (Weil & Brown, ¶ 6:599, emphasis removed.) “A shareholder may bring a derivative suit on the corporation's behalf where management (or any third party) breaches a duty owed to the corporation and the corporation fails to assert its cause of action.” (*Id.*, ¶ 6:602, emphasis removed.) “Thus, an action is ‘derivative’ if ‘the gravamen of the complaint is injury to the corporation, or to the whole body of its stock and property without any severance or distribution among individual holders, or [if] it seeks to recover assets for the corporation or to prevent the dissipation of its assets.’” (*Id.*, ¶ 6:603.)

The direct and derivative claims are pled in the same cause of action (see Proposed FAC, second, fourth, fifth, and sixth causes of action). Because a “demurrer must dispose of an entire cause of action.” (*Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 119), combining the claims into a single cause of action makes it impossible for defendant to demur to an insufficiently pled direct or derivative claim. Accordingly, as an initial matter, plaintiff is directed to separate the claims into direct and derivative causes of action.

1. Bryce’s Authority to Assert Derivative Claims

Vaid argues that Bryce cannot bring derivative claims, contending that the court-appointed receiver for QNH, Byron Moldo, is the only party that can bring those claims on QNH’s behalf.

On April 9, 2026, the court appointed Mr. Moldo as the receiver for QNH. On April 21, 2026, the court directed plaintiff and defendant to submit their respective demands regarding possible claims on behalf of QNH to Mr. Moldo, so that he could review and prepare a report regarding those claims. On June 30, 2026, Mr. Moldo filed said report and found, in relevant part:

Having investigated the QNH claims as set forth by counsel for Bryce and Vaid in their correspondence, and following discussions with Munzinger and Quazzo, the Receiver recommends that the alleged QNH claims as set forth by Munzinger and Quazzo on behalf of their respective clients be brought derivatively. The Receiver believes that it would not be cost-effective for him to bring these claims on behalf of QNH as he would be required to spend an inordinate amount of time to fully and completely educate himself with the claims. On the other hand, and primarily due to their familiarity with the details and history of this matter, the Receiver believes that Munzinger and Quazzo can much more efficiently initiate and prosecute these derivative claims.

(Second Report of Byron Z. Moldo, Receiver, ¶ 7.) Pursuant to Mr. Moldo’s recommendation, Bryce is authorized to pursue derivative claims on behalf of QNH. (See *Porter v. Sabin* (1893) 149 U.S. 473, 479.)

Plaintiff must first have made an adequate demand on the Receiver. “A shareholder cannot initiate a derivative suit without first informing the directors about the action and making

a reasonable effort to induce them to commence suit themselves or otherwise redress the wrong, unless such efforts would be ‘useless’ or ‘futile’ (Weil & Brown, *supra*, ¶ 6:626 ff.). [Corps.C. § 800(b)(2); *Kanter v. Reed* (2023) 92 CA5th 191, 204, 309 CR3d 375, 383 (discussed at ¶ 6:247); *Schrage v. Schrage* (2021) 69 CA5th 126, 156, 284 CR3d 279, 305, fn. 14 (quoting text); see also Corps.C. § 2900(d)(2) (SPCs)].” (Id. at ¶ 6:622.)

Plaintiff alleges in his proposed FAC that on May 29, 2026, he and Vaid presented their derivative claims to the Receiver, and that on June 30, 2026, the Receiver declined to bring the claims and recommended that the parties bring the derivative claims. (Proposed FAC, ¶¶ 19-20.) The derivative claims have therefore been adequately presented to the Receiver.

It is not the court’s role at this point to determine whether the causes of action are sufficiently pled. Rather, that is a question to be answered on demurrer.

Defendant’s remaining arguments regarding this cause of action fail to demonstrate that the cause of action is futile. The court therefore grants leave to amend the second cause of action — but pled in separate direct and derivative causes of action.

2. *The Proposed Amended Causes of Action*

Bryce proposes adding the following allegations in support of the second cause of action:

- that plaintiff satisfied the demand requirement to bring derivative claims (Proposed FAC, ¶¶ 14-22);
- that defendant breached his fiduciary duty by soliciting QNH’s clients during the dissolution process, causing lost revenue to QNH (*id.*, ¶¶ 26-30);
- that defendant breached his fiduciary duty by paying himself and his agents unauthorized salaries (*id.*, ¶¶ 31-36);
- that defendant breached his fiduciary duty by filing for bankruptcy despite knowing that he could not act on QNH’s behalf as the sole director, wasting QNH and plaintiff’s funds (*id.*, ¶¶ 37-38);
- Amends the second cause of action to assert both individual and derivative claims, including by adding derivative claims based on the above allegations (*id.*, ¶¶ 51-57)

Plaintiff proposes adding the following allegations in support of the third cause of action:

- Defendant breached his fiduciary duty of loyalty by sabotaging the sale of QNH to Experity (Proposed FAC, ¶¶ 39-43);
- The failure to sell to Experity hurt plaintiff directly but other allegations of fiduciary duty caused direct and derivative harm (*id.*, ¶¶ 44-45);

-
- A direct cause of action for breach of fiduciary duty based on failure to sell QNH to Experity (*id.*, ¶¶ 58-64).

As his fourth cause of action, plaintiff proposes the addition of a direct and derivative claim for unfair business practices pursuant to Business & Professions Code, section 17200, alleging that “Vaid’s conduct and those of this agents as alleged herein is unlawful, unfair, and fraudulent” and “QNH and Bryce are suffering monetary damages and irreparable harm as a direct result of Defendants’ unlawful, unfair and fraudulent conduct.” (Proposed FAC, ¶¶ 65-67.)

Plaintiff proposes adding the following allegations in support of the fifth and sixth causes of action:

- Allegations that defendant fraudulently transferred his assets for little to no consideration in order to defraud plaintiff (proposed FAC, ¶¶ 46-48);
- Addition of individual and derivative cause of action “To Set Aside Fraudulent Transfers – Actual Fraudulent Intent” against Defendant individually and as Co-Trustee of the Chen Vaid Family Trust (*id.*, ¶¶ 68-77);
- Addition of individual and derivative cause of action “To Set Aside Fraudulent Transfers – Without Receipt of Reasonably Equivalent Value” against Defendant individually and as Co-Trustee of the Chen Vaid Family Trust (*id.*, ¶¶ 78-83).

Plaintiff alleges as to the fifth cause of action that plaintiff had claims against defendant and that defendant transferred certain properties that he (defendant) owned into a family trust in order to defraud creditors, including plaintiff. (Proposed FAC, ¶¶ 69-74.) Plaintiff alleges that “[a]s a direct and proximate result of the aforementioned transfers, QNH and Bryce have been hindered, delayed, and defrauded in his ability to satisfy his claim against Vaid out of the Properties, all to QNH’s and Bryce’s damage in an amount to be determined according to proof.” (*Id.*, ¶ 77.) Plaintiff alleges as to the sixth cause of action that defendant made the transfers for little to no value, and that the transfers were made in an attempt to limit defendant’s ability to pay any creditors, including plaintiff and QNH, if found liable. (*Id.*, ¶¶ 80, 82-83.)

Defendant argues that plaintiff has failed to present this claim to the Receiver because the letter sent to the Receiver on May 29, 2026 did not mention defendant’s alleged transfer of real property, or that plaintiff contends the transfer was fraudulent, or that QNH may have a remedy to set aside the transfer pursuant to Civil Code, section 3439.

Corporations Code, section 800 states, in relevant part:

(b) No action may be instituted or maintained in right of any domestic or foreign corporation by any holder of shares or of voting trust certificates of the corporation unless both of the following conditions exist:

* * *

(2) The plaintiff alleges in the complaint with particularity plaintiff's efforts to secure from the board such action as plaintiff desires, or the reasons for not making such effort, and alleges further that plaintiff has either informed the corporation or the board in writing of the ultimate facts of each cause of action against each defendant or delivered to the corporation or the board a true copy of the complaint which plaintiff proposes to file.

Plaintiff argues that he satisfied this provision when he served the Receiver with a copy of the motion now before the court, which attaches the Proposed FAC. Based on the circumstances in this case, including the reasoning in the Receiver's Second Report to the court, plaintiff met the demand requirement for this cause of action in serving the Receiver with a copy of the instant motion.

Defendant also argues that the Uniform Voidable Transfers Act (UVTA), codified at Civ. Code §§ 3439, et seq., does not apply to him because he is a resident of Massachusetts. However, the section of the UVTA that defendant relies on for this argument is the section on "Governing Law," and the UVTA does not state anywhere that it only applies to those within California. (See also *Buchanan v. Soto* (2015) 241 Cal.App.4th 1353, 1362; *Square 1 Bank v. Lo* (N.D. Cal. 2015) 128 F.Supp.3d 1257, 1261; *Gutierrez v. Givens* (S.D. Cal. 1998) 1 F.Supp.2d 1077, 1081.) Again, it is premature for the court to rule on whether the UVTA applies to defendant.

Plaintiff proposes the addition of an individual cause of action for indemnification against QNH for his expenses in bringing the instant proceeding. (Proposed FAC, ¶¶ 84-95.)

3. Addition of Doe Defendants

Plaintiff proposes the addition of ten Doe Defendants, alleging that they "interfered with QNH and its clients, including those in California, and interfered with QNH's dissolution in California. (Proposed FAC, ¶¶ 9, 12.) Defendant argues that plaintiff's attempt to add the Doe defendants is improper because plaintiff's 2025 Proposed Complaint demonstrates that he knew the names of those he now seeks to add as Does. (Opp., at p. 11:8-12.)

"For a defendant to be added as a Doe, at the time of filing the complaint plaintiff not only must have been genuinely ignorant of defendant's identity, but also ignorant of the facts giving rise to the cause of action against that defendant. [*San Diego Navy Broadway Complex Coalition v. California Coastal Comm'n* (2019) 40 CA5th 563, 579, 253 CR3d 314, 328; see ¶ 6:742]." (Weil & Brown, Civ. Proc. Before Trial, *supra*, at ¶ 6:615.4.)

The court requests that plaintiff clarify at the hearing on this motion that he does not know the true names of those he proposes to add as Doe Defendants.

If the tentative ruling is uncontested, it shall become the order of the court. Thereafter, plaintiff's counsel shall prepare a written order consistent with the court's ruling for the court's signature, providing written notice of the ruling to all parties who have appeared in this action, pursuant to California Rules of Court, Rule 3.1312 and Local Rule 3.403(b)(iv), which states in part that the "prevailing party on a tentative ruling is required to prepare a proposed order

repeating verbatim the tentative ruling” (emphasis added). The order should be e-filed only, do not email or mail a hard copy to the court.

2:00PM LINE 3

23-UDL-00390 ESSEX HILLSDALE GARDEN APARTMENTS, L.P. VS. YOSLIN GARCIA XIQUIN, ET AL

ESSEX HILLSDALE GARDEN APARTMENTS, L.P.
YOSLIN GARCIA XIQUIN

VILMA LOPEZ

Plaintiff's Motion to Amend the Judgment

TENTATIVE RULING:

Plaintiff Essex Hillsdale Garden Apartment's unopposed Motion to Amend the Judgment is **GRANTED**.

Plaintiff has moved to reduce the judgment by \$600 due to an arithmetical error. (See MPA iso Mot., at p. 2.) The outcome of granting this motion will benefit and not prejudice the defendant. Accordingly, the court will issue an amended judgment in the amount of \$17,637.50.

Plaintiff's counsel is to prepare the proposed judgment.

If the tentative ruling is uncontested, it shall become the order of the court. Thereafter, plaintiff's counsel shall prepare a written order consistent with the court's ruling for the court's signature, providing written notice of the ruling to all parties who have appeared in this action, pursuant to California Rules of Court, Rule 3.1312 and Local Rule 3.403(b)(iv), which states in part that the "prevailing party on a tentative ruling is required to prepare a proposed order *repeating verbatim the tentative ruling*" (emphasis added). The order should be e-filed only, do not email or mail a hard copy to the court.

2:00PM LINE 4

24-CIV-01135

RYAN KOLSTAD VS. LIFEMARK GROUP, A SUBSIDIARY OF NORTHSTAR MEMORIAL GROUP, ET AL

RYAN KOLSTAD

LIFEMARK GROUP, A SUBSIDIARY OF NORTHSTAR MEMORIAL GROUP

PRO SE

CARRIE A. STRINGHAM

Defendant Northstar Memorial Group, LLC's Demurrer to Plaintiff Ryan Kolstad's Second Amended Complaint

TENTATIVE RULING:

Defendant Northstar Memorial Group, LLC's demurrer to plaintiff Ryan Kolstad's Second Amended Complaint (SAC) filed on February 23, 2026, is **SUSTAINED without leave to amend**.

A. Background

Plaintiff Ryan Kolstad alleges that he was employed by defendant Northstar Memorial Group, LLC beginning in January 2011. The employment relationship terminated and resumed multiple times through 2023. Plaintiff alleges he suffered discrimination and defamation by Northstar employee, defendant Greg Lim, throughout plaintiff's employment.

The initial complaint — filed on February 27, 2024 — asserted ten causes of action based on the decade-plus alleged torts and breaches of contract. Former defendant Lifemark Group, Inc., since dismissed, filed a demurrer which the court sustained as to all ten causes of action.

Plaintiff filed his First Amended Complaint (FAC) on July 15, 2024. The FAC asserted ten causes of action and was largely the same as the prior complaint (although it added some 2023 conduct) and omitted Lifemark as a defendant. The court sustained the demurrer without leave to amend and plaintiff appealed.

The Court of Appeal issued its remittitur on February 18, 2025. The appellate court largely affirmed this court's ruling on the demurrer but "[concluded] that Kolstad should be allowed to amend his complaint to try again to state a valid cause of action for breach of contract" and reversed and remanded with respect to that one claim. (Declaration of Carrie A. Stringham iso Demurrer, exh. B.)

On February 23, 2026, plaintiff filed his Second Amended Complaint (SAC) asserting one cause of action for breach of contract.

Northstar has demurred to the SAC for failure to state facts sufficient to state a cause of action. (Code Civ. Proc. § 430.10, subd. (e); Civil Code § 1708.7.) Defendant argues that plaintiff failed to comply with the Court of Appeal's direction to plead specific allegations to assert a viable breach of contract claim and that the SAC fails to allege any breach by defendant.
